

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 3 Multiple Choice

9708/32

May/June 2018

1 hour 15 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved with
reasons!

This document consists of **11** printed pages and **1** blank page.

- Private cost + External cost*
- 1 How is social cost calculated?
- A external cost minus external benefit
 B external cost minus private cost
~~C~~ external cost plus private cost
 D social cost minus social benefit

2 *Social cost is the total cost to the society which comprises of private cost and external cost. Private cost, cost borne by consumers and producers when they consume (e.g. price) and produce (e.g. cost of production) goods and services. External cost is the cost to the third party for which no appropriate compensation is paid. e.g. pollution*

- 2 Which government policy is not aimed at correcting inefficiency in resource allocation?
- A marginal cost pricing in state owned industries *market failure*
 B permits restricting the pollution of rivers by private firms *Externalities*
~~C~~ requiring firms to pay a minimum wage *(Labour market, trade union)*
 D the provision of public goods at zero price *free rider problem*

- 3 The table shows some of the costs and benefits, in \$ millions, associated with a road building project. Both a government department and a profit-maximising private firm are considering building the road.
- social benefit > social cost* *Private benefit > Private cost*

Social cost = 525 social benefit = 550

private costs	external costs	external benefits	social benefits
450	75	50	550

Private benefit = 500

Who would be willing to build the road?

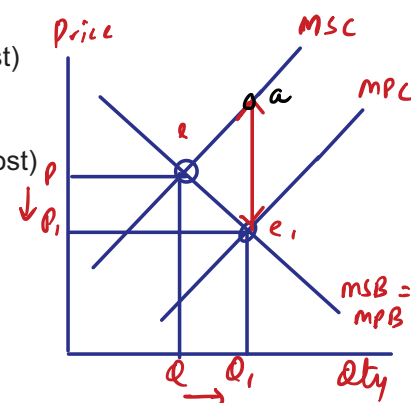
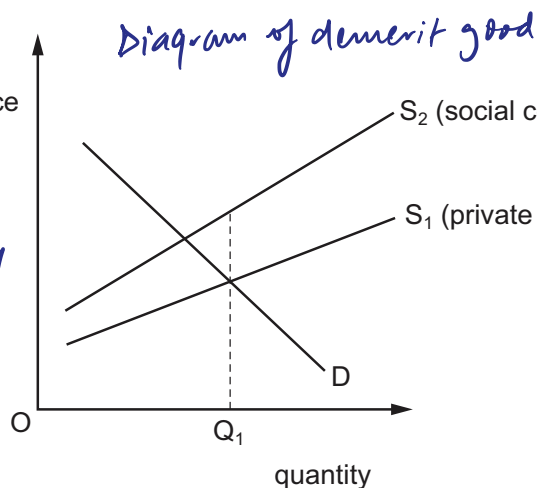
- ~~A~~ Both would be willing to build it. *(SB > SC) (PB > PC)*
 B Neither would be willing to build it.
 C Only the government department would be willing to build it.
 D Only the private firm would be willing to build it.

- 4 In the diagram, Q_1 is the quantity produced of a good as the result of market forces.

* Social cost > private cost,
existence of external cost

↓
negative externality

* Over produced,
under charged,
over consumed and
over allocation



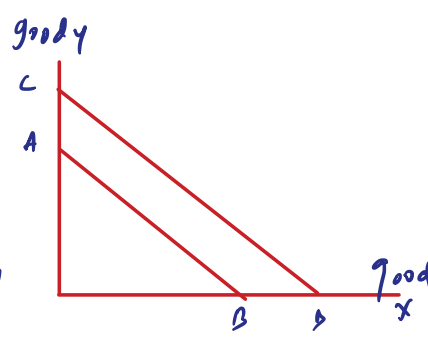
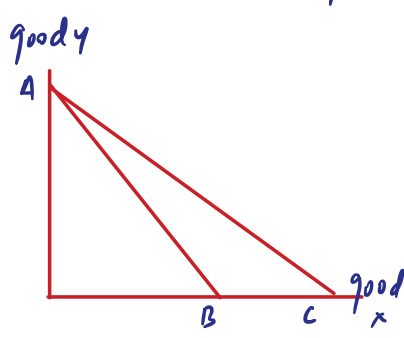
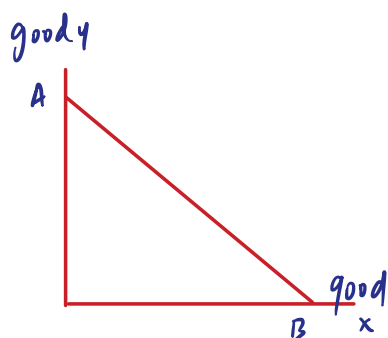
$a - e_1$:- External cost

Which concept is present at output Q_1 ?

- A a government subsidy
- ☒ B a negative externality
- C a positive externality
- D a specific tax

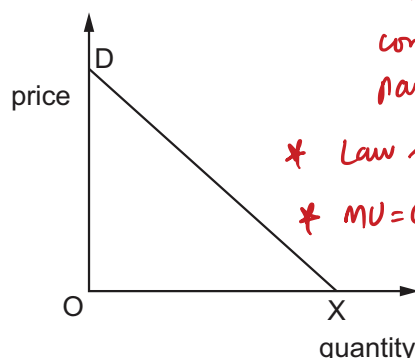
- 5 What would not affect the budget line of an individual consumer?

- ☒ A the individual's preference for various goods $\Rightarrow$ concept of rational consumer
- B the level of income tax $\Rightarrow$ affects income, causing shift
- C the money prices of goods $\Rightarrow$ Price affects units
- D the wages earned by the individual $\Rightarrow$ wages $\Rightarrow$ income earned



6 The diagram shows the demand curve for a product.

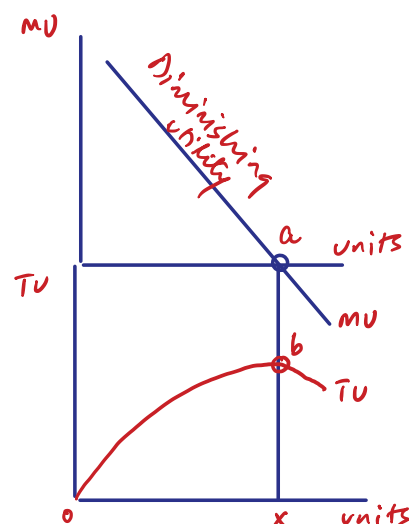
* It's a downward sloping demand curve, in that case $AR \neq MR$, remember imperfect competition, thus it isn't MR line so TR can't be maximized.



* Downward sloping demand curve follows diminishing marginal utility, as more is consumed, individual is willing to pay less for each additional unit
 * Law of Diminishing marginal utility
 * $MU=0$, $TU = \max$

What is maximised at X?

- ☐ A marginal revenue
- ☐ B total revenue
- ☐ C marginal utility
- ☒ D total utility (point 'b')



7 The diagram shows a firm's cost and revenue curves.

* Oligopoly

* $MC=MR$

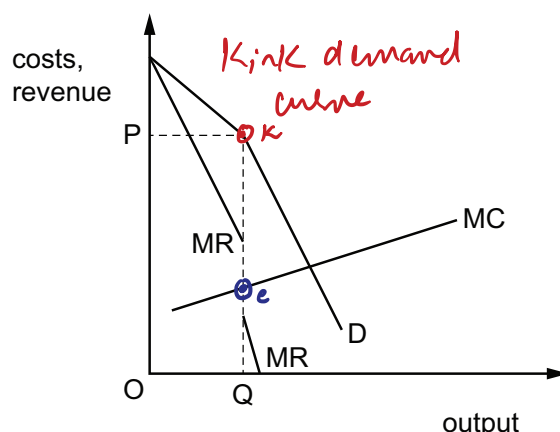
* K = Kink (rigid)

* Prices $\uparrow$ (TR $\downarrow$) (Elastic)

* Prices $\downarrow$ (TR $\downarrow$) (Inelastic)

* Unchanged price and Qty

* Interdependence



Which features are associated with the diagram?

- ☐ A economies of scale and allocative efficiency (imperfect competition $\rightarrow$ No efficiency)
- ☐ B interdependence and allocative efficiency (Not possible)
- ☐ C price rigidity and economies of scale (There is existence of EOS, but not associated with this diagram)
- ☒ D price rigidity and interdependence
Non-collusive Oligopoly

variable cost reduced
5

- 8 In the year ending July 2016, airline fuel prices fell by 20.4% while the price of passenger aircraft increased by around 1.1%.

Assuming no other changes in the passenger airline industry, what was the outcome for fixed costs and variable costs?

	fixed costs	variable costs
A	decreased	decreased
B	decreased	increased
☒ C	increased	decreased
D	increased	increased

Even if the variable cost was reduced, price was increased, thus fixed cost would have increased.

- 9 Which feature of production would make it more likely that an industry is a contestable market?

- A advertising has established consumer loyalty
B all firms in the industry share research and development
☒ C low fixed costs (cost of entry and exit are low/zero)
D market rivals aim to reduce product differentiation

Profit satisfying

Read the paragraphs
**

- 10 What is an example of backward vertical integration?

- ☒ A a bakery buying a wheat farm
B a car manufacturer buying a car showroom
C a vineyard buying an apple orchard
D two rival supermarkets joining together

Knowledge:-

Backward integration occurs when a company initiates a vertical integration by moving backward in its industry's chain. A general example of backward integration is when a bakery business moves up the supply chain to purchase a wheat processor or a wheat farm



** Knowledge of contestable market

For example, consider a catering company that is given permission by a factory to run its canteen. The catering company has a monopoly over the supply of food to the workers in that factory. If, however, it starts charging high price or provide a poor service, the factory could offer the running of the canteen to an alternative catering company. This threat may force the original company catering company to charge reasonable price and offer a good service. Entry is usually costly to a firm. It may have to build a plant, it may have to develop new versions of differentiated product or it may have to advertise heavily in order to call attention to its product. These and many other initial expenses are often called sunk costs of entry, which are defined as costs that a firm must incur to enter a market and cannot be recovered if the firm subsequently exists.

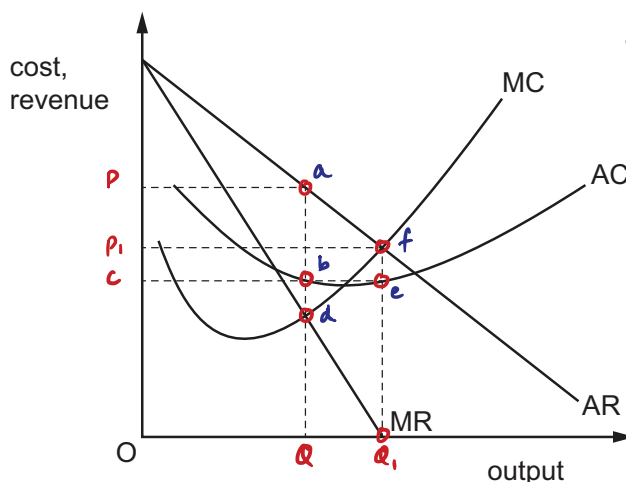
A market is perfectly contestable when the costs of entry and exit by the potential rivals are zero and when the costs of entry can be made very rapidly. In such cases the moment the possibility of earning supernormal profits occurs, new firms enter, thus driving the profits down to normal profits. The sheer threat of this to happen will ensure that the firm already in the market will (a) keep its prices down so that it just makes normal profits and (b) produces as efficiently as possible, taking advantage of any economies of scale and new technology. If the existing firm did not do this, entry would take place and potential competition would become actual competition.

Page 1

- 11 The diagram shows a firm in imperfect competition. It changed its aim from profit maximising to sales revenue maximising.

$MR = 0$

$MC = MR$,
supernormal profits
[Pabc]



$MR = 0$,
supernormal profits
[P, f, e, c]

Which type of profit was it making in each case?

	profit maximising	sales revenue maximising
A	normal profit	supernormal profit
B	subnormal profit	normal profit
C	supernormal profit	normal profit
☒ D	supernormal profit	supernormal profit

$ATC = AR$

- 12 An airline sells seats at \$100 each three months before a flight, at \$150 each one month before the flight and at \$200 each the day before the flight.

What describes this type of market behaviour by the firm?

- A limit pricing to deter entry in an imperfect market
- ☒ B price discrimination by a monopoly supplier
- C price leadership by an oligopolist
- D pricing where price equals average cost under perfect competition

Price discrimination is charging different prices to different customers, reasons not associated with cost, it depends on price elasticity of demand. (Remember the diagram).

The setting of prices in a market by a dominant company, which is followed by others in the same market.

(perfect knowledge)

Principal agent problem (lack the knowledge)

Total cost, 10 cleaners = \$60
 Each worker $\Rightarrow$ \$6 (Earlier)*
 Marginal cost $\Rightarrow$ \$11.50

$$(11 \times n) - (10 \times 6) = \$11.50$$

7 Total cost₁₁ Total cost₁₀ Marginal cost

- 14 The total cost to a school of employing ten cleaners is \$60 per hour.

$$n = \frac{71.5}{11} \Rightarrow \$6.5 \text{ (Now*)}$$

The school estimates that the hourly marginal cost of employing an eleventh cleaner would be \$11.50.

By how much would the hourly wage have to increase to employ an additional cleaner?

- A \$0.50 B \$0.65 C \$2.25 D \$11.50
 (\$6.5 - \$6)

- 15 What would cause a rise in the productivity of labour?

$$\frac{\text{Total output}}{\text{No. of labours}}$$

- A an increase in indirect taxes $\text{cost} \uparrow$
 B an increase in the quality of capital (Machines $\uparrow$) $\Rightarrow$ efficiency $\uparrow$
 C a rise in consumer surplus (Lower prices) (It's an effect, not cause)
 D a rise in the elasticity of supply of labour (Elastic supply of labour)

- 16 In the diagram D_1 and S are the initial demand and supply curves for building workers.

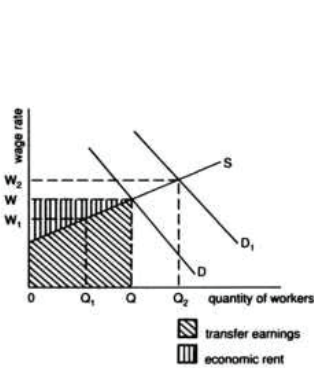


Fig. 34.6 Economic rent. See entry.

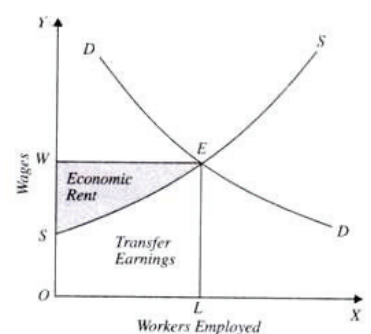
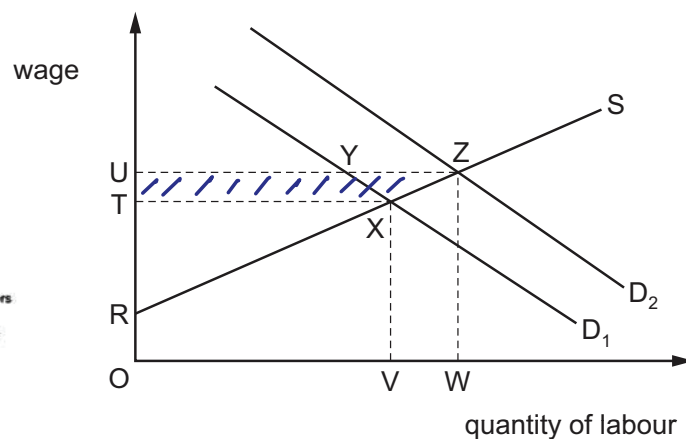


Fig. 34.7. Economic Rent of Workers

In economics, economic rent is any payment to an owner or factor of production in excess of the costs needed to bring that factor into production.

If the demand for building workers increases to D_2 by how much does the economic rent earned by building workers rise?

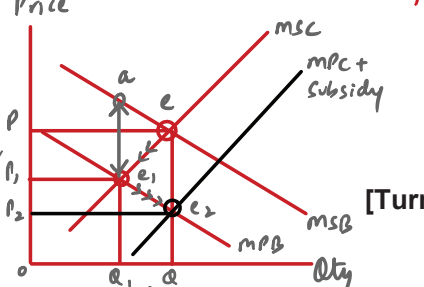
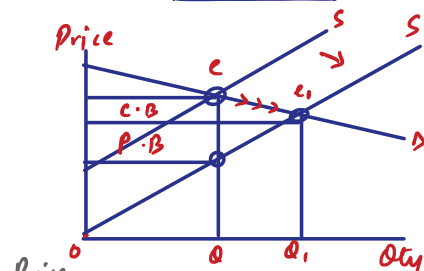
- A RUZ B TUZX C VXZW D XYZ

- 17 Under which circumstances will a subsidy from the government be most beneficial if there are externalities from producing good X?

positive or external benefit

	externality caused by good X	price elasticity of demand of good X
A	negative	<1
B	negative	>1
C	positive	<1
D	positive	>1

prices $\downarrow$ Qty $\uparrow$



[Turn over]

Your tax-free Personal Allowance. The standard Personal Allowance is £12,500, which is the amount of income you do not have to pay tax on. Your Personal Allowance may be bigger if you claim Marriage Allowance or Blind Person's Allowance. It's smaller if your income is over £100,000.

8

Transfer payments, Progressive ↑, Regressive ↓, Unemployment benefits ↑

18 Which tax would help a government achieve a more equal distribution of income after tax?

- A a constant rate sales tax applicable to all goods and services
- B a constant rate tax per person
- C an income tax with a constant marginal rate over the whole income range

*Progressive, relaxation, Knowledge **
☒ D an income tax with a tax-free allowance and a constant marginal rate thereafter

* A marginal tax rate is the tax rate incurred on each additional dollar of income. The marginal tax rate for an individual will increase as income rises. This method of taxation aims to fairly tax individuals based upon their earnings, with low-income earners being taxed at a lower rate than higher income earners.

19 A country has a population of 100 million. There are 5 million people unemployed and the country has an unemployment rate of 10%.

$$\text{Unemployment rate} = \frac{\text{Unemployed}}{\text{Labour force}} \times 100$$

What is the size of the labour force?

- A 10 million
- ☒ B 50 million
- C 90 million
- D 95 million

$$10\% = \frac{5}{x} \times 100$$

$$x = 50 \text{ million}$$

20 Which type of unemployment is correctly linked to the description of its cause?

	type of unemployment	description of the cause
A	cyclical	<i>Seasonal</i> a <u>change in demand due to holiday periods</u>
☒ B	frictional *	a lack of sufficient information (<i>Mismatch</i>)
C	structural	a <u>temporary change in consumers' expenditure</u>
D	technological	<i>Cyclical</i> a <u>general decrease in the demand for goods</u>

Fall in demand of particular industry ←

* Frictional unemployment is a type of unemployment. It is sometimes called search unemployment and can be based on the circumstances of the individual. It is time spent between jobs when a worker is searching for a job or transitioning from one job to another.

21 Growth rates can be calculated using changes in the value of GDP from year to year.

Why is real GDP per head considered to be a better indicator than nominal GDP per head for this calculation?

$$\text{Real GDP per head} = \frac{\text{Real GDP}}{\text{Total population}} \quad \text{Real GDP} = \text{Nominal GDP} - \text{Inflation}$$

- ☒ A Real GDP adjusts for price changes by using a base year. (*adjusted with inflation*)
- B Real GDP ignores the effects of fluctuations in exchange rates on purchasing power. (*It doesn't*)
- C Real GDP includes changes in the size of the population. (*Nominal GDP per head includes too*)
- D Real GDP measures GDP at factor cost rather than market prices. (*other way round*)

No government

22 What would not exist in a free market, open economy?

- A autonomous investment
- B household saving
- C import spending

} *Actions of individuals and firms*

☒ D indirect taxation (*Government action*)

23 The information in the table is taken from a country's national income accounts.

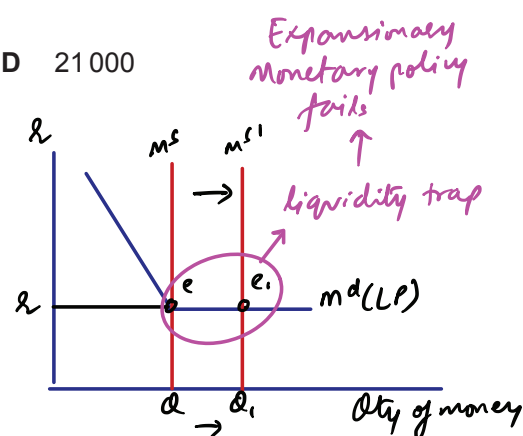
income	US \$ (millions)
✓ wages	8000
✓ salaries	7000
unemployment benefit	1000
pensions	1000
✓ rent	3000
✓ interest	2000

What is the value of national income?

- A 17 000 B 19 000 ✓ C 20 000 D 21 000

24 What is a part of Keynesian economic analysis?

- Monetarists {
- ✓ A a liquidity trap below which interest rates are ineffective
 - B an equilibrium price that always clears the market
 - C a small value for the government expenditure multiplier
 - D a vertical short-run aggregate supply curve



$GNP = GDP + \text{Net property income from abroad.}$

25 What will definitely increase a country's Gross National Product?

- A an increase in income taxes, $\text{Disposable income} \downarrow, C \downarrow, AD \downarrow, \text{output} \downarrow$
- B an increase in the marginal propensity to import $MPM \uparrow, MPC \downarrow, \text{multiplier} \downarrow, \text{output} \downarrow$
- C an increase in the value of a country's currency $\text{Appreciation, BOT deficit, } AD \downarrow, \text{output} \downarrow$
- ✓ D increased government expenditure on education $G \uparrow, AD \uparrow, \text{output} \uparrow$

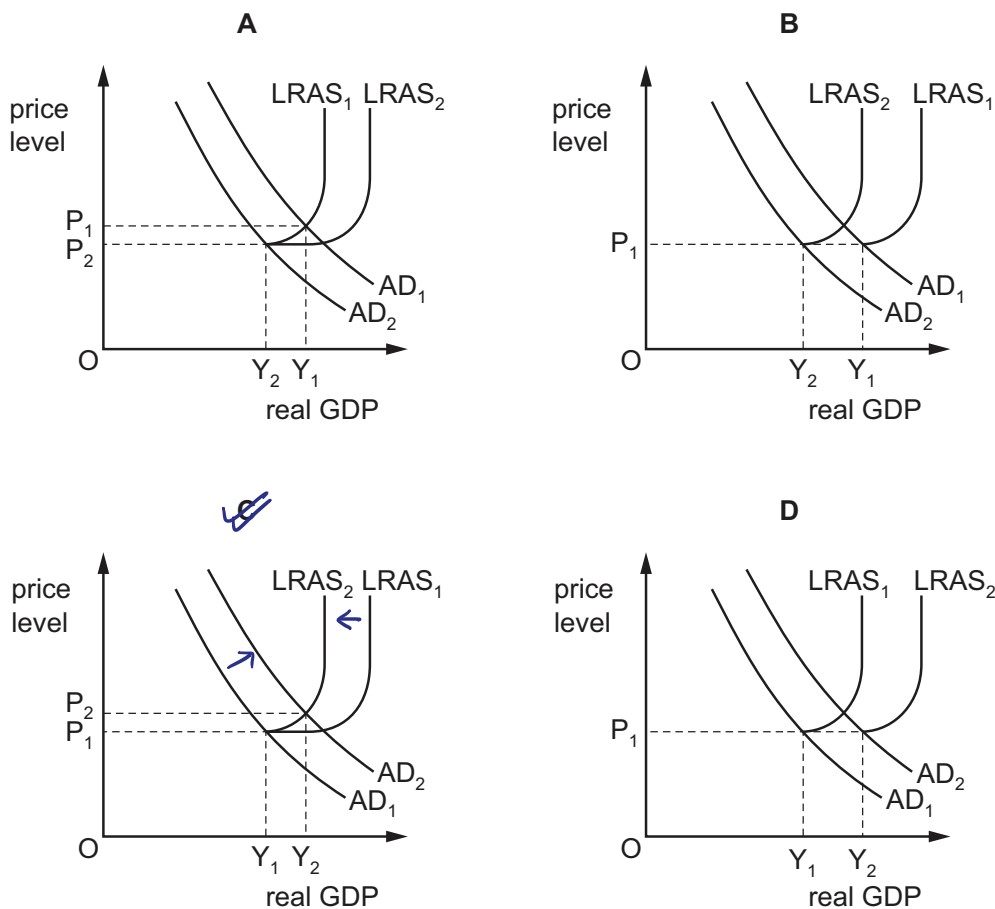
induced investment (national income affects investment)

26 According to the accelerator theory, what determines this year's net investment?

- A last year's consumption
- B last year's output
- C the change in last year's investment
- ✓ D the change in last year's national income

$\hat{I}$ (autonomous) affects RNI (multiplier)
RNI affects Investment (induced) [accelerator]

- 27 Which diagram shows an economy experiencing an increase in actual output but a decline in potential output? *AD↑ LRAS↓*



- 28 What is likely to follow if a central bank sets negative interest rates? *Remember 'Japan'*

- ☐ A an increase in government revenue
☒ B an increase in the rate of inflation
☐ C a reduction in bank lending
☐ D deflation in the economy

C↑ I↑ AD↑ Prices↑ inflation

★ A negative interest rate means that the central bank (and perhaps private banks) will charge negative interest. Instead of receiving money on deposits, depositors must pay regularly to keep their money with the bank.

★ Negative interest on excess reserves is an instrument of unconventional monetary policy applied by central banks to encourage lending by making it costly for commercial banks to hold their excess reserves at central banks so they will lend more readily to the private sector.

Rate of inflation

- 29 The Consumer Prices Index (CPI) fell by 3% in a year. Unemployment was regarded as unacceptably high.

Which combination of policies would a government be most likely to adopt in such circumstances?

- ☒ A an appreciation of the currency, together with an increase in the rate of interest $AD \downarrow, Un \uparrow$
 $C \uparrow, AD \uparrow$
☐ B increased government expenditure on education, together with an increase in taxes to pay for it $C \downarrow, AD \downarrow$
☐ C increased indirect taxes, together with a depreciation in the exchange rate $Prices \uparrow, C \downarrow, AD \downarrow$ $BoT \text{ surplus}, AD \uparrow$
☒ D reduced income taxes, together with a cut in the rate of interest $AD \uparrow$ $AD \uparrow$

- 30 Other things being equal, what is most likely to result from an increase in a country's interest rates?

- ☒ A a capital inflow ($R \uparrow, FDI \uparrow, Dg \uparrow, \text{capital inflow}$)
☐ B a depreciation of the currency ($R \uparrow, \text{currency appreciate}$)
☐ C an increase in consumption ($R \uparrow, C \downarrow, \text{save} \uparrow$)
☐ D an increase in investment ($R \uparrow, \text{cost of borrowing} \uparrow, I \downarrow$)

29

option B:-

* Income tax $\downarrow$

Disposable income $\uparrow$

$C \uparrow, AD \uparrow (Prices \uparrow)$

production $\uparrow$

Demand for labours $\uparrow$

Unemployment $\downarrow$

* interest rate $\downarrow$

$C \uparrow I \uparrow$

Depreciation

BoT surplus

$AD \uparrow (Prices \uparrow)$

Unemployment $\downarrow$